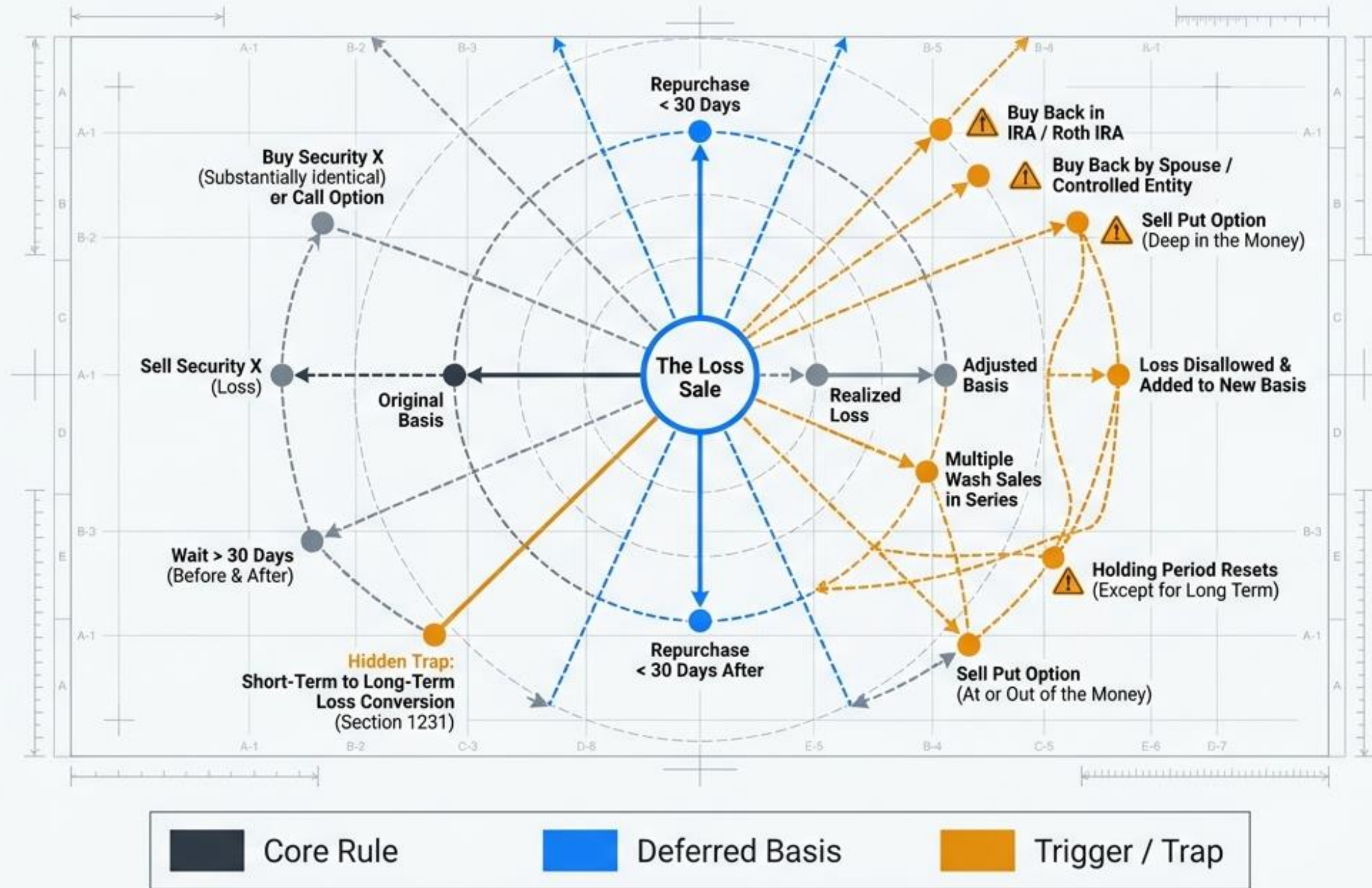


The Hidden Web of Wash Sales

Why just wait 30 days is a trap, and how to navigate IRS Rule §1091.



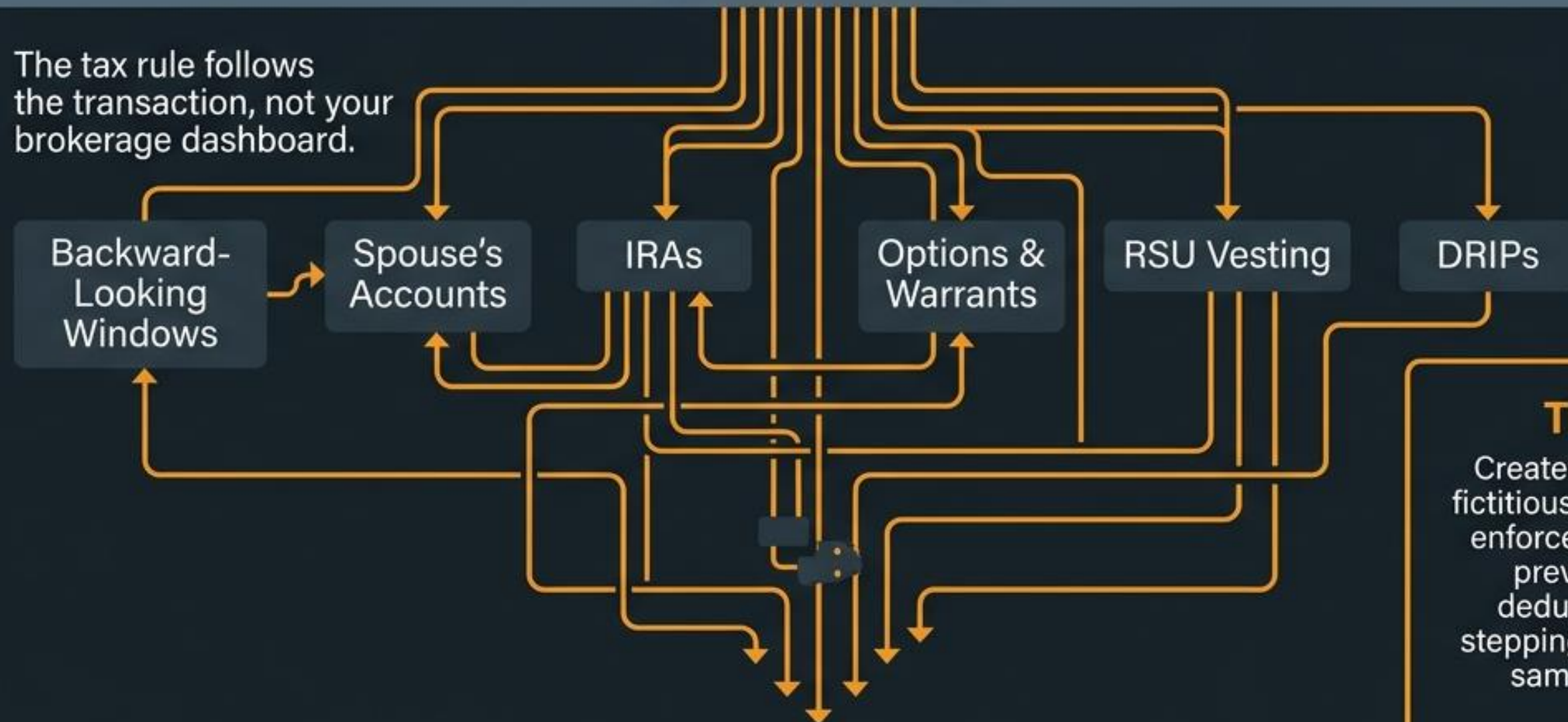
The Wash Sale Illusion

Sell a stock at a loss, don't buy it back for 30 days.



The Surface Level

The tax rule follows the transaction, not your brokerage dashboard.



The Reality

Created in 1921 to prevent fictitious exchanges. The IRS enforces economic reality, preventing you from deducting a loss while stepping right back into the same economic risk.

The Physics of a Wash Sale

Step 1 The Loss Generation



Step 2 The Wash Purchase

Step 3 The Basis Transfer



Step 4 The New Reality



Key Takeaways

- The loss is deferred, not destroyed.
- It rides along in the new shares until sold.
- Holding Period Bonus: The time you held the old shares attaches to the new shares (IRC §1223(3)).

The 61-Day Radar

The wash-sale window looks backward as well as forward.

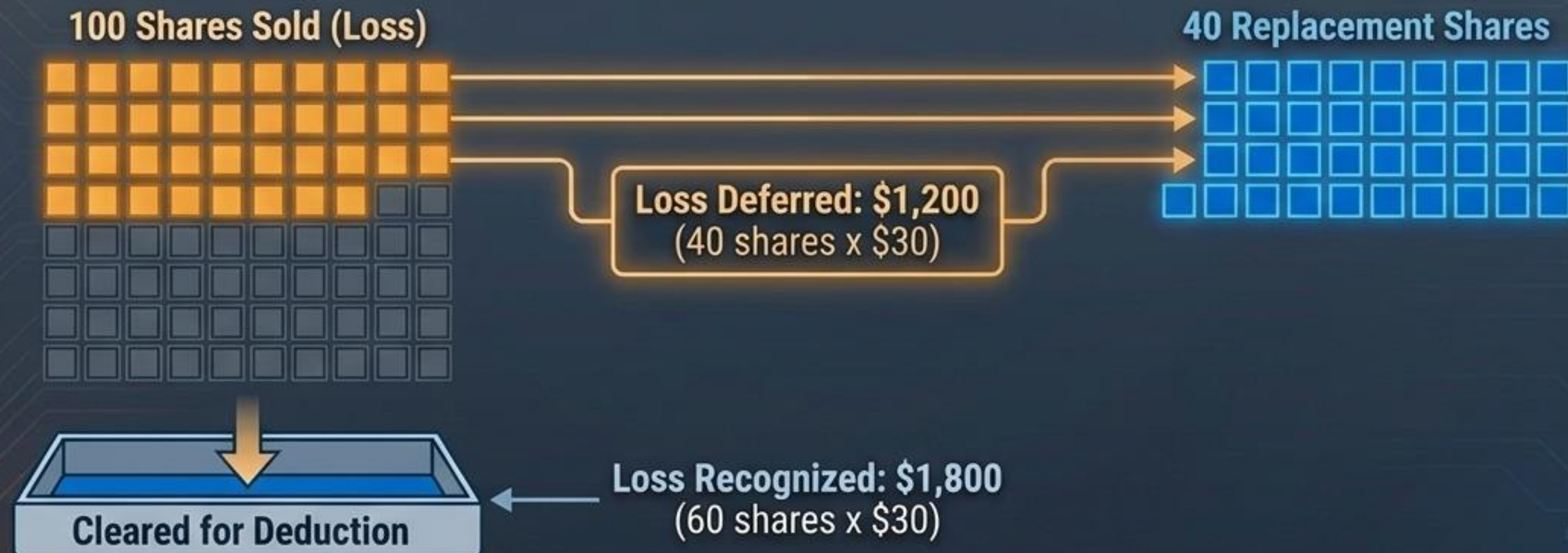
The 61-Day Window



Partial Wash Sales & The Matching Rule

Treas. Reg. §1.1091-1(c): Replacement shares are matched in the order acquired.

Scenario: Sell 100 shares at a \$30/share loss. Acquire 40 replacement shares inside the window.



Crucial Rule: No Netting Allowed: Selling a winning block and a losing block of the same stock on the same day? Gains are fully taxable, but the losing block is still subject to the wash-sale rule. **You cannot report zero.**

The Silent Acquisitions Map

The statute says "acquire," not "buy with cash." Fully taxable trades and automated deliveries count.



The IRA Black Hole

Rev. Rul. 2008-5: Mixing taxable losses with IRA purchases permanently destroys capital.

Taxable Account to Taxable Account



Loss is deferred.

The disallowed loss attaches to the new shares, preserving your tax benefit for the future.

Taxable Account to IRA / Roth IRA



Loss is permanently destroyed.

Because IRAs do not track tax basis, **no basis adjustment** is allowed. The loss is disallowed and vanishes forever.



The Trap: This is the single most expensive wash-sale mistake an investor can make.

Derivatives & The §1091 Wash-Sale Rule

The rule expands beyond stock to cover contracts and options.



Calls & Warrants

Entering a contract to acquire substantially identical stock triggers a wash sale.

Buying a call option or **warrant** inside the window counts as an acquisition.



Short Puts

Selling (writing) puts is a **grey area**. However, if a short put is assigned within the window, you have formally bought the shares—instantly triggering the wash-sale rule.



The Reverse Trigger

Short-sale losses become wash sales if you sell or enter another short sale of identical stock within 30 days before or after closing the short. Timing depends on when the short sale is legally considered complete.

Note: Commodity futures and foreign currency generally aren't "stock or securities" under §1091, but may trigger separate Straddle rules (§1092).

The “Substantially Identical” Spectrum

The IRS relies on a “facts and circumstances” test, not just checking for a different ticker symbol.

Safe Zone

-  Different Companies (Corp A vs Corp B)
-  Corporate Bonds vs Common Stock

Grey Zone

-  Different Index ETFs (e.g., swapping Large-Cap for Total Market)
-  Different methodologies and holdings

High Risk Zone

-  Different Tickers, Exact Same Index
-  Corporate Reorganizations (Successor stock)

The Convertible Trap (Pub 550)

Convertible preferred stock is deemed identical to common if it meets 5 tests:

1. Convertible
2. Same voting rights
3. Same dividend limits
4. Trades near conversion ratio
5. Unrestricted convertibility.

Diagnostic Matrix: What Happens to the Loss?

Scenario	Tax Outcome
 No wash sale	Loss generally recognized now.
 Full wash sale, taxable account	Loss disallowed now; added to replacement basis; holding period carries over.
 Partial wash sale	Matched portion deferred; remainder recognized now.
 Replacement bought in IRA/Roth IRA	Loss disallowed, no basis adjustment (permanently lost).
 Replacement shares held until death	Step-up basis (§1014) wipes out the deferred loss permanently.
 Replacement shares gifted	Deferred loss is lost only if fair market value at time of gift is below adjusted basis (§1015).

Note: Always consult a tax professional. The wash-sale rule is complex, and specific facts can alter the outcome. (§1091) and related regulations.

Tax Status: Investor vs. Trader vs. Dealer

Wash-sale applicability depends strictly on your formal IRS classification.



The Investor

- Buys securities as investments.
- Wash-Sale Rule: APPLIES.
(Even if you call yourself a “day trader”).



The Trader (No Election)

- Seeks profit from daily market movements; substantial, regular activity.
- Wash-Sale Rule: APPLIES.



Trader with §475(f) Election

- Qualifying trader who formally elected mark-to-market accounting.
- Wash-Sale Rule: DOES NOT APPLY to trading-business securities.
(Note: Requires strict IRS deadlines, gives up capital-gain treatment).



The Dealer

- Business of buying from/selling to customers.
- Wash-Sale Rule: DOES NOT APPLY to ordinary-course transactions.

Edge Cases & Administrative Exceptions



Money-Market Funds (The Exception)

Under Rev. Proc. 2023-35, the IRS will not treat a redemption of shares in any money-market fund as part of a wash sale.



Digital Assets (Crypto)

The 2025 Schedule D instructions state wash-sale rules apply to digital assets only if classified as “stock or securities” for federal tax purposes (e.g., tokenized securities). Broader crypto wash-sale bills remain unenacted.



Straddles vs. Wash Sales

Wash sales ask “Did you buy identical stock?” Straddles (§1092) ask “Did you hold an offsetting position that reduces risk?” Straddles trigger their own complex, overlapping loss-deferral rules.

Reporting: The Broker Blindspot & Form 8949

The Broker Blindspot

- A 1099-B generally only flags a wash sale if it's a covered security, same CUSIP, and in the exact same account.
- It cannot see your spouse's account, your IRA, or your ESPP.
- You are legally responsible for the gaps.

Step 1: Report the full transaction on Form 8949.

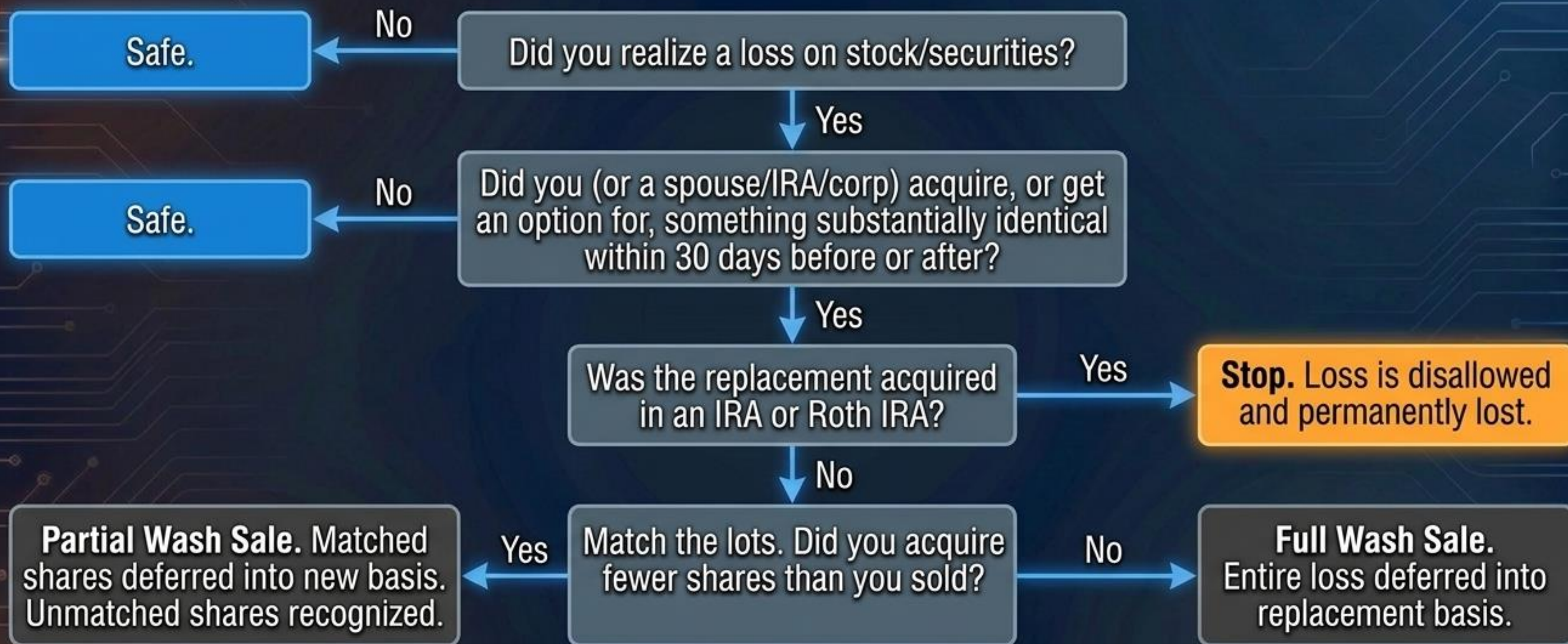
The diagram illustrates the process of reporting a transaction on Form 8949. It shows Form 8949 (IRS Form 8949) placed on top of Form 1099-B (Broker Statement). The transaction table on Form 8949 is highlighted with an orange oval. An arrow points from this table to the 'W' code in column (f) of the transaction table on Form 8949, which is also circled in orange. Another arrow points from the 'Disallowed Loss' column (g) of the transaction table on Form 8949 to the 'Disallowed Loss' column (g) of the transaction table on Form 1099-B, which is also circled in orange and contains the value '\$1,200.00'.

Transaction	Code	Disallowed Loss
Transaction 1	W	\$1,200.00

Step 2: Enter Code 'W' in column (f).

Step 3: Enter the disallowed loss as a positive number in column (g) to cancel out the loss.

Wash Sale Decision Workflow



Next Steps: Track the deferred loss, apply the holding period, and report Code W on Form 8949.

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Individual circumstances matter

Examples and diagrams simplify complex rules and may omit exceptions. Consult a qualified tax or legal professional about your circumstances before acting or filing a return.

No assurance of tax outcomes

Laws and guidance may change. No guarantee of accuracy, completeness or a particular tax result applies. Confirm current requirements with authoritative sources.

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